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Prepared By: Rodrigo Trejo

Approved By: Abigail Mackey

Report Highlights:

In marketing year (MY) 2026/27, Mexico's oilseed crush, soybean meal imports, and vegetable oil consumption are all forecast to increase, driven by continued growth in demand from the food processing and livestock sectors. Population growth and expanding animal protein production are expected to support higher utilization of both vegetable oils and protein meals. Domestic oilseed production is forecast to remain structurally limited, constrained by farmer prioritization of basic grains, limited financing, and reduced government support policies for oilseed producers.

EXECUTIVE SUMMARY

Mexico's central bank recently revised the country's 2026 economic growth forecast upward to 1.6 percent, citing expansion in domestic consumption and increased exports. Accordingly, demand for oilseeds and products — particularly soybeans and derived products — is expected to continue rising as Mexico's population and livestock sector expand. Mexico is projected to remain a significant net importer of oilseeds and meals, with total imports forecast to increase in marketing year (MY) 2026/27 to meet growing domestic requirements.

Domestic oilseed production for MY 2026/27 is forecast at 640,000 metric tons (MT), up 5 percent from the previous year. Soybean production is expected to increase modestly, supported by continued demand from the domestic crush industry despite its limited share of total use. Rapeseed production will remain minimal, constrained by farmer preference for basic grains, low availability of improved seed varieties, and limited financing and price support mechanisms. Oil palm fresh fruit bunch (FFB) and palm kernel production are forecast to grow moderately as planted area matures and average per-hectare yields improve. Cottonseed output is expected to partially recover on a gradual return to more favorable weather conditions. Peanut production is forecast to decline as producers contend with elevated input costs and lower farm-gate prices driven by elevated import volumes.

Oilseed imports for MY 2026/27 are forecast at 8.3 million metric tons (MMT), up 1 percent year-over-year. Soybean imports are forecast stable at 6.7 MMT, reflecting a gradual drawdown of the relatively high carryover stocks accumulated in MY 2025/26. Rapeseed imports are forecast 4 percent higher at 1.4 MMT, supported by increased demand for rapeseed oil and meal by the food processing and livestock sectors.

Oilseed crush for MY 2026/27 is forecast at 8.3 MMT, a 2-percent increase, driven by robust domestic demand for both vegetable oil and protein meal and supported by higher soybean carryover from the prior year. Ongoing capacity investments by major processors — including plant modernization and operational consolidation — have improved crushing efficiency and stabilized margins, positioning the industry to absorb higher oilseed availability and meet rising demand across edible oil and feed protein sectors. These structural improvements are expected to underpin higher utilization rates through MY 2026/27.

Vegetable meal production for MY 2026/27 is forecast at 6.3 MMT, up 2 percent, supported by continued growth in poultry, swine, and cattle production. Notwithstanding higher domestic crush, meal imports are forecast to rise 4 percent to 2.7 MMT, reflecting competitive regional soybean meal prices. Total meal consumption is forecast at 9.0 MMT, up 3 percent, driven by protein demand from the livestock and compound feed industries.

Vegetable oil production for MY 2026/27 is forecast at 2.2 MMT, up 2 percent, supported by continued demand growth from the food processing sector and households. Oil imports are forecast 3 percent lower at 1.26 MMT on higher domestic availability. Total vegetable oil consumption is forecast at 3.5 MMT, up 4 percent, driven by incremental demand from food processors and the retail market.

OILSEEDS SECTION

Table 1. Mexico: Production, Supply, and Distribution (PSD) of Total Oilseeds

Total Oilseeds	2024/25	2025/26	2026/27
Mexico	**Revised**	**Estimate**	**Forecast**
Area Harvested (1000 MT)	301	368	382
Beginning Stocks (1000 MT)	766	715	883
Production (1000 MT)	705	607	640
MY Imports (1000 MT)	7776	8281	8336
Total Supply (1000 MT)	**9247**	**9603**	**9859**
MY Exports (1000 MT)	10	21	20
Crush (1000 MT)	7837	8124	8325
Food Use Dom. Cons. (1000 MT)	260	280	290
Feed Waste Dom. Cons. (1000 MT)	425	295	305
Total Dom. Cons. (1000 MT)	8522	8699	8920
Ending Stocks (1000 MT)	715	883	919
Total Distribution (1000 MT)	**9247**	**9603**	**9859**
(1000 HA), (1000 MT)			

Commodities:
Oilseed, Soybean
Oilseed, Rapeseed
Oilseed, Palm kernel
Oilseed, Cottonseed
Oilseed, Peanut

Total oilseed production for MY 2026/27 is forecast at 640,000 MT, up 5 percent from the prior year, supported by improved weather prospects for soybeans, palm kernel, and cottonseed. However, domestic production overall remains overall limited, averaging approximately 6 percent of total domestic use. Constrained land and water availability, limited adoption of modern farming practices, and the reduction in oilseed support programs contribute to the widening gap between domestic supply and demand.

Total oilseed imports for MY 2026/27 are forecast at 8.3 MMT, up 1 percent, reflecting higher expected imports of rapeseed and peanuts. Crush is forecast at 8.3 MMT, up 2 percent, underpinned by elevated soybean carryover stocks from MY 2025/26. Industry contacts indicate domestic crushers are well-positioned to sustain steady crush growth, supported by price-competitive oilseed supplies and continued demand for both protein meal and vegetable oil. Given the limited scale of domestic oilseed production, exports are forecast to remain negligible.

Steady growth in vegetable oil consumption is a primary force behind the higher oilseed crush forecast. Key demand factors include population growth, expansion of the food processing sector, and increased tourism activity. Mexico ranks as the 11th largest vegetable oil market. Industry sources project soybean oil will account for approximately 40 percent of domestic vegetable oil consumption in calendar year (CY) 2026, followed by palm oil at 30 percent, rapeseed oil at 22 percent, palm kernel oil at 4 percent, and other vegetable oils — including safflower, sunflower, olive, avocado, pumpkin seed, peanut and sesame — collectively at 4 percent.

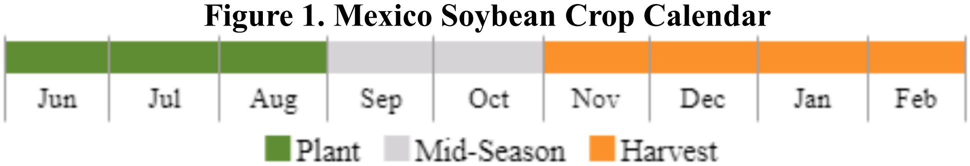
Sustained growth in animal feed demand also supports a higher crush forecast for MY 2026/27. Mexico ranks as the fifth-largest compound feed producer globally and continues to expand soybean meal use to meet the protein requirements of its growing poultry, swine, and cattle sectors. Feed costs represent over 60 percent of total production expenses in the poultry and swine industries, making the animal feed sector highly sensitive to raw material price movements. Industry contacts note that soybeans are expected to retain their competitive advantage over other oilseeds based on high meal extraction rates and protein content suited to domestic livestock rations.

Soybean, Oilseed

Table 2. Mexico: Production, Supply and Distribution of Soybean (Oilseed)

Oilseed, Soybean	**2024/25**		**2025/26**		**2026/27**	
Market Year Begins	**Sep 2024**		**Sep 2025**		**Sep 2026**	
Mexico	**USDA Official**	**New Post**	**USDA Official**	**New Post**	**USDA Official**	**New Post**
Area Harvested (1000 HA)	135	134	145	145	0	150
Beginning Stocks (1000 MT)	615	615	592	592	0	711
Production (1000 MT)	278	278	280	305	0	315
MY Imports (1000 MT)	6434	6434	6700	6700	0	6700
Total Supply (1000 MT)	7327	7327	7572	7597	0	7726
MY Exports (1000 MT)	0	0	10	1	0	0
Crush (1000 MT)	6650	6650	6800	6800	0	6950
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	85	85	85	85	0	85
Total Dom. Cons. (1000 MT)	6735	6735	6885	6885	0	7035
Ending Stocks (1000 MT)	592	592	677	711	0	691
Total Distribution (1000 MT)	7327	7327	7572	7597	0	7726
Yield (MT/HA)	2.0593	2.0746	1.931	2.1034	0	2.1
(1000 HA), (1000 MT), (MT/HA)						

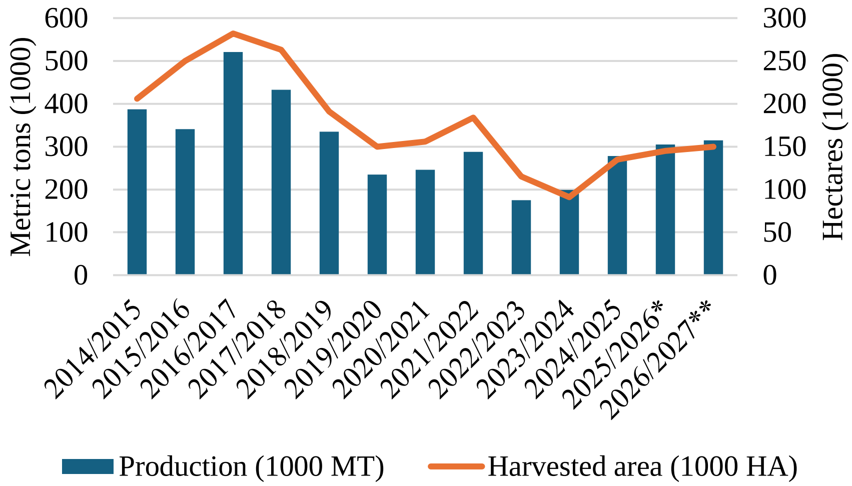
Figure 1. Mexico Soybean Crop Calendar



MY 2026/27

Soybean production in MY 2026/27 (September – August) is forecast to increase 3 percent to 315,000 MT, driven by continued growth in demand by the domestic crush industry. While the forecast is 3 percent above the ten-year average, domestic production is estimated to account for only 4 percent of total consumption. Structural constraints — including limited access to improved seed varieties and suitable land, farmer prioritization of basic grains, restricted private financing, and the reduction in dedicated support policies for soybean producers — continue to weigh on domestic output.

Figure 2. Soybean Harvested Area and Production in Mexico



*Source: Servicio de Información Agrícola y Pecuaria (SIAP)/*estimate**forecast*

MY 2025/26

Soybean production in MY 2025/26 is estimated to grow by 10 percent to 305,000 MT, driven primarily by a partial production recovery in Tamaulipas supported by higher expected prices and favorable soil moisture conditions.

As of early March 2026, the 2025/26 spring/summer soybean harvest is virtually complete. Spring/summer production is estimated at 296,000 MT, up 13 percent, reflecting higher expected prices and favorable weather and soil moisture conditions. In Tamaulipas, production is estimated at 84,000 MT, up 90 percent. This is driven by improved precipitation in southern growing areas with average yields estimated at 2.0 MT/ha. In Campeche, production is estimated at 140,000 MT, down 3 percent, with average yields estimated stable at 2.4 MT/ha. Industry associations reported excellent and good soybean quality in 90 percent of spring/summer production. The spring/summer cycle accounts for approximately 95 percent of total domestic soybean production.

Fall/winter soybean planting is largely complete. Production for this cycle is estimated at 10,000 MT, down 34 percent, reflecting the absence of planting activity in San Luis Potosí due to prioritization of spring/summer soybean production based on higher water availability.

Trade

MY 2026/27

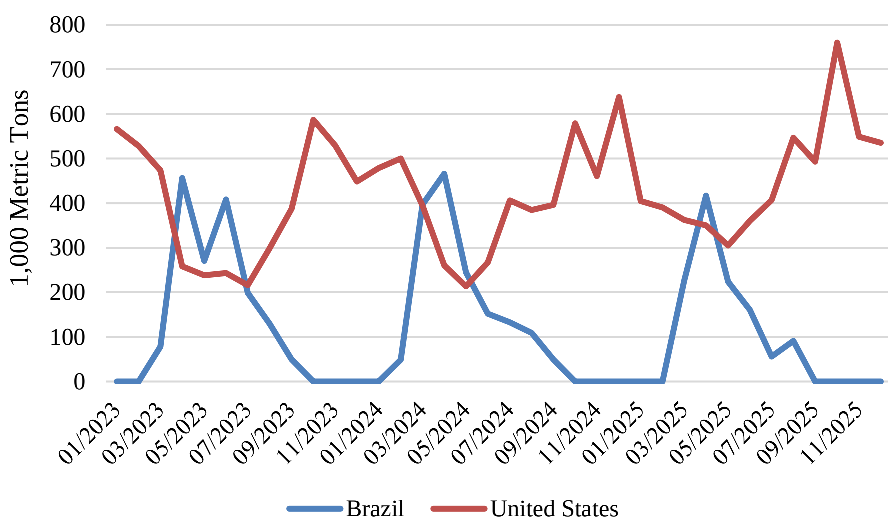
Soybean imports for MY 2026/27 are forecast stable at 6.7 MMT. Elevated expected meal imports and relatively high soybean carryover stocks from MY 2025/26 are likely to temper import growth.

Notwithstanding stable import volumes, continued strength in soybean meal and oil demand from the livestock and food processing sectors is expected to support higher crush rates.

The United States is expected to remain Mexico's primary soybean supplier, underpinned by price competitiveness and logistical advantages. On average, approximately 70 percent of U.S. soybean imports arrive in bulk via rail directly to terminals at crushing facilities, with Nuevo Laredo and Piedras Negras accounting for over 80 percent of rail-borne volumes. The remaining approximately 30 percent arrives by vessel through Gulf ports, typically within two days of departure from U.S. loading points. Veracruz and Puerto Progreso collectively receive over 95 percent of maritime import volumes. Brazilian-origin soybeans arrive by vessel primarily through Gulf ports.

U.S.-origin soybeans averaged approximately 75 percent of Mexico's total soybean import market from 2023 to 2025, down from roughly 85 percent during 2020–2022. Brazil's market share increased over this period, with import volumes concentrated primarily around March and September. Industry contacts indicate that higher protein content in Brazilian soybeans has prompted domestic crushers to blend U.S. and Brazilian product to meet quality and extraction standards.

Figure 3. Mexico's Soybean Imports Per Month (January 2023 – December 2025)



Source: Trade Data Monitor

MY 2025/26

Soybean imports for MY 2025/26 are estimated at 6.7 MMT, up 4 percent from the prior year, supported by favorable crush margins and continued growth in demand for soybean meal and oil. The United States is expected to remain Mexico's primary supplier. From September 2025 through January 2026, Mexico imported 2.9 MMT of soybeans, virtually all of U.S. origin. Imports are estimated to account for approximately 96 percent of total soybean consumption.

Consumption

Soybean consumption for MY 2026/27 is forecast at 7.0 MMT, up 2 percent, reflecting steady growth in crush demand from the animal feed and vegetable oil sectors. Soybeans remain the predominant oilseed crushed in Mexico. Crush is forecast at nearly 7.0 MMT, up 2 percent, driven by price-competitive soybean supplies, higher carryover stocks from MY 2025/26, and increased demand for high-protein soybean meal and vegetable oil from the food processing industry.

Installed crush capacity in CY 2026 is estimated at 11.5 MMT, with a capacity utilization rate of approximately 60 percent. Over 90 percent of crush capacity is concentrated among five large processing companies, and more than 80 percent of installed capacity is configured exclusively for soybean processing.

Soybean oil consumption is forecast up 4 percent in MY 2026/27. Industry contacts indicate soybean oil demand is expected to remain robust among processed food manufacturers and retail consumers. The food processing sector values soybean oil for its price competitiveness, high linoleic acid content, utility as a stable base for vegetable oil blends, and its compatibility with partial hydrogenation and interesterification processes that extend the shelf life of packaged and processed food products. Soybean meal consumption by the animal feed industry is forecast up 4 percent in MY 2026/27, supported by higher demand from the poultry and swine sectors. Soybean meal is expected to remain the dominant protein source in domestic compound feed formulations, accounting for approximately 80 percent of total soybean meal equivalent consumed. Its preeminence in feed formulations reflects its well-established nutritional profile, particularly its relatively high crude protein content — typically ranging from 44 to 48 percent depending on extraction method and hull inclusion — combined with a favorable amino acid composition.

Soybean crush for MY 2025/26 is estimated at 6.8 MMT, up 2 percent, reflecting continued growth in meal and oil demand. From September 2025 through February 2026, average soybean meal prices declined 8 percent year-over-year to 7,350 pesos (USD 420) per MT, while rapeseed meal prices fell 4 percent to 5,130 pesos (USD 293) per MT, partially driven by ample domestic and international supplies.

Stocks

Soybean ending stocks for MY 2026/27 are forecast at 691,000 MT, down 3 percent, as continued crush growth supported by expected positive crush margins draws down available supplies. Ending stocks for MY 2025/26 are estimated at 711,000 MT, up 20 percent, reflecting higher domestic production and import volumes during the marketing year. All soybean stocks in Mexico are privately held.

Rapeseed, Oilseed

Table 3. Mexico: Production, Supply and Distribution of Rapeseed (Oilseed)

Oilseed, Rapeseed	2024/25		2025/26		2026/27	
Market Year Begins	Oct 2024		Oct 2025		Oct 2026	
Mexico	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Harvested (1000 HA)	1	1	1	1	0	1
Beginning Stocks (1000 MT)	77	77	56	56	0	107
Production (1000 MT)	1	1	1	1	0	1
MY Imports (1000 MT)	1093	1093	1300	1300	0	1350
Total Supply (1000 MT)	1171	1171	1357	1357	0	1458
MY Exports (1000 MT)	0	0	0	0	0	0
Crush (1000 MT)	1115	1115	1250	1250	0	1300
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	1115	1115	1250	1250	0	1300
Ending Stocks (1000 MT)	56	56	107	107	0	158
Total Distribution (1000 MT)	1171	1171	1357	1357	0	1458
Yield (MT/HA)	1	1	1	1	0	1
(1000 HA), (1000 MT), (MT/HA)						

Production

Rapeseed production for MY 2026/27 (October–September) is forecast to remain below 1,000 MT, essentially unchanged from the prior year. Structural constraints limiting domestic rapeseed output include restricted access to improved seed varieties, farmer preference for basic grains such as corn, sorghum, and dry beans, and the absence of government support programs targeting oilseed producers.

Trade

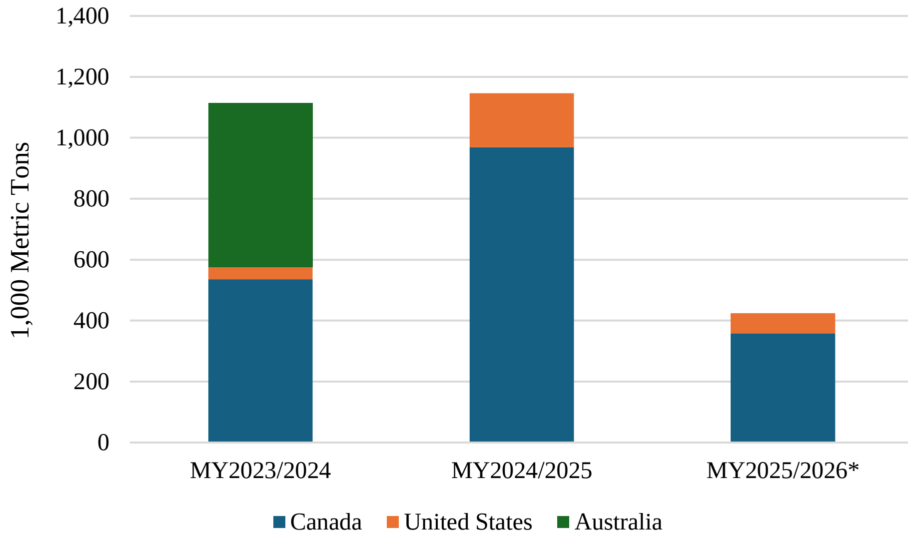
MY 2026/27

Rapeseed imports for MY 2026/27 are forecast at nearly 1.4 MMT, up 4 percent, supported by higher expected crush margins, favorable logistics, and continued growth in demand for canola oil from the food processing industry and the retail vegetable oil market.

MY 2025/26

Rapeseed imports for MY 2025/26 are estimated at 1.3 MMT, up 16 percent from the prior year, driven by a recovery in canola oil and meal demand from the food and feed industries, supported by lower expected import prices. From October 2025 through January 2026, rapeseed imports totaled 424,487 MT, of which approximately 85 percent was Canadian canola and 15 percent U.S. rapeseed. Canada is expected to remain Mexico's primary rapeseed supplier, with the United States serving as a supplementary source to meet incremental crush demand. According to industry contacts, approximately 80 percent of rapeseed imports arrive by vessel through the port of Manzanillo, Colima on the Pacific coast, while the remaining volumes enter via rail across the northern border and by vessel through Veracruz in the Gulf.

Figure 4. Mexico Rapeseed Imports



*Source: Trade Data Monitor / *October 2025 through January 2026*

Mexico used to source virtually all rapeseed imports from Canada. Beginning in MY 2022/2023, Mexico began diversifying purchases to include Australian and U.S. origin rapeseed based on price competitiveness. In MY 2024/25, Canadian rapeseed accounted for approximately 85 percent of total imports, with U.S.-origin rapeseed comprising the remaining 15 percent, reflecting higher U.S. exportable supplies and favorable logistics.

Consumption

Rapeseed consumption and crush for MY 2026/27 are forecast at 1.3 MMT, up 4 percent, supported by continued growth in demand for canola oil and meal. Virtually all imported rapeseed is directed to crush. Domestic crushers and refiners increasingly incorporate rapeseed oil into vegetable oil blends to improve fatty acid balance, oxidative stability, and shelf life. Rapeseed consumption and crush for MY 2025/26 are estimated at 1.25 MMT, up 12 percent, driven by stronger demand for rapeseed oil and meal from the food processing and animal feed sectors.

Stocks

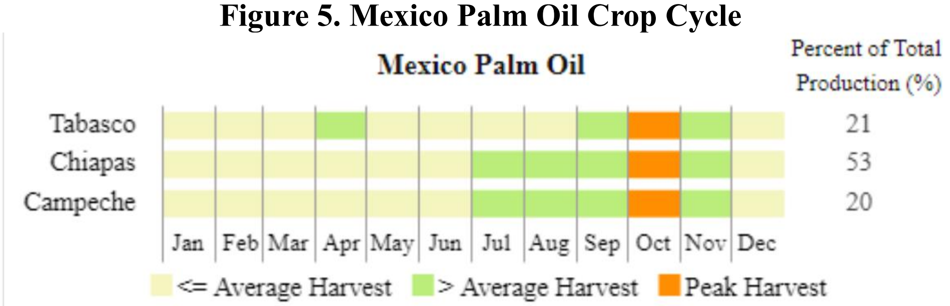
Rapeseed ending stocks for MY 2026/27 are forecast at 158,000 MT, up 48 percent, reflecting higher anticipated import volumes relative to the pace of crush demand growth. In MY 2025/26, ending stocks are estimated 91 percent higher year-over-year at 107,000 MT, driven by a substantial increase in import volumes during the marketing year.

Palm Kernel, Oilseed

Table 4. Mexico: Production, Supply and Distribution of Palm Kernel (Oilseed)

Oilseed, Palm Kernel	2024/25		2025/26		2026/27	
Market Year Begins	May 2025		May 2026		May 2027	
Mexico	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	136	0	138	0	140
Area Harvested (1000 HA)	0	105	0	107	0	109
Trees (1000 TREES)	0	0	0	0	0	0
Beginning Stocks (1000 MT)	0	0	0	0	0	0
Production (1000 MT)	0	67	0	69	0	70
MY Imports (1000 MT)	0	1	0	1	0	1
Total Supply (1000 MT)	0	68	0	70	0	71
MY Exports (1000 MT)	0	0	0	0	0	0
Crush (1000 MT)	0	68	0	70	0	71
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	0	68	0	70	0	71
Ending Stocks (1000 MT)	0	0	0	0	0	0
Total Distribution (1000 MT)	0	68	0	70	0	71
Yield (MT/HA)	0	0.6381	0	0.6449	0	0.6422
(1000 HA), (1000 TREES), (1000 MT), (MT/HA)						

Figure 5. Mexico Palm Oil Crop Cycle



Source: USDA FAS International Production Assessment Division (IPAD)

Production

Palm kernel production for MY 2026/27 (May–April) is forecast at 70,000 MT, up 1 percent. This is equivalent to approximately 2.0 MMT of fresh fruit bunches (FFB). Industry contacts estimate average palm kernel output at 3.5 percent of total FFB weight. Further growth in FFB collection and palm kernel recovery is constrained by limited labor availability, dispersed plantation locations, and the absence of economies of scale. Peak harvest season typically runs from July through November. Palm kernel production for MY 2025/26 is estimated at 69,000 MT, up 1 percent, driven by marginal yield improvements among mature oil palm trees in Chiapas, Campeche, and Tabasco.

According to the Mexican Oil Palm Tree Federation (FEMEXPALMA), Mexico's total oil palm planted area reached 134,760 hectares (ha) in CY 2024, up 4 percent from the prior year, distributed across four states: Chiapas (61,452 ha), Campeche (33,358 ha), Tabasco (32,065 ha), and Veracruz (7,883 ha). Planted area is projected to expand at approximately 2 percent annually in the near term, with Chiapas and Tabasco identified by industry contacts as the states with the greatest potential for further development.

Trade

Palm kernel imports are forecast to remain negligible at below 1,000 MT in MY 2026/27. Palm kernels — which contain approximately 45–50 percent oil — are susceptible to quality deterioration during storage and transit, including oil loss, moisture-induced swelling, mold development, and accelerated free fatty acid formation in damaged kernels. These quality risks, combined with the processing efficiencies associated with crushing near production sites, limit international trade in palm kernels and effectively confine their movement to facilities located in proximity to palm oil mills.

Consumption

Palm kernel crush for MY 2026/27 is forecast at 71,000 MT, up 1 percent. This is supported by higher demand for palm kernel meal from the cattle industry and increased demand for palm kernel oil from the processed food, cosmetics, and soap sectors. Palm kernel crush for MY 2025/26 is estimated up 1 percent at 70,000 MT, reflecting steady demand growth from the processed food, cosmetics, and household products industries.

Stocks

Palm kernel stocks held by domestic processors represent operating inventory maintained to meet short-term processing requirements. There are no government-held palm kernel stocks in Mexico.

Cottonseed, Oilseed

Table 5. Mexico: Production, Supply and Distribution of Cottonseed (Oilseed)

Oilseed, Cottonseed	**2024/25**		**2025/26**		**2026/27**	
Market Year Begins	**Aug 2024**		**Aug 2025**		**Aug 2026**	
Mexico	**USDA Official**	**New Post**	**USDA Official**	**New Post**	**USDA Official**	**New Post**
Area Harvested (Cotton) (1000 HA)	126	126	72	70	0	80
Beginning Stocks (1000 MT)	51	51	39	38	0	25
Production (1000 MT)	340	289	193	157	0	184
MY Imports (1000 MT)	38	38	52	40	0	35
Total Supply (1000 MT)	429	378	284	235	0	244
MY Exports (1000 MT)	0	0	0	0	0	0
Crush (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	390	340	250	210	0	220
Total Dom. Cons. (1000 MT)	390	340	250	210	0	220
Ending Stocks (1000 MT)	39	38	34	25	0	24
Total Distribution (1000 MT)	429	378	284	235	0	244
Yield (MT/HA)	2.6984	2.2937	2.6806	2.2429	0	2.3
(1000 HA), (RATIO), (1000 MT), (MT/HA)						

Production

Cottonseed production for MY 2026/27 (August–July) is forecast at 184,000 MT, up 17 percent, supported by improved weather conditions and strong domestic cotton demand. Cottonseed production for MY 2025/26 is estimated at 157,000 MT, down 46 percent, reflecting lower expected prices, elevated input costs, persistent drought conditions, and limited access to improved cotton varieties. Industry contacts note that one 480-pound bale (217 kilograms) of ginned cotton yields on average approximately 628 pounds (285 kilograms) of cottonseed.

Trade

Cottonseed imports for MY 2026/27 are forecast at 35,000 MT, down 13 percent, driven by softer demand and increased substitution by the dairy cattle sector toward alternative feed inputs. All cottonseed imports originate from the United States, reflecting geographic proximity, logistical connectivity, and competitive pricing.

Cottonseed imports for MY 2025/26 are estimated at 40,000 MT, up 5 percent based on updated trade data, though still approximately 40 percent below the ten-year average. Industry contacts note that competitive prices for substitute products — including distillers dried grains with solubles (DDGS), bypass fat, vegetable protein meals, and forage grains — continue to limit cottonseed import demand, reflecting a longer-term downward trend in cottonseed use by the dairy cattle sector. Over 99 percent of U.S. imports arrive via truck through Nuevo Laredo, Tamaulipas.

Consumption

Cottonseed consumption for MY 2026/27 is forecast at 220,000 MT, up 4 percent, reflecting a partial recovery in domestic cotton production and continued cottonseed use by dairy operations in northern Mexico. Industry contacts indicate that cottonseed remains a viable supplemental fat and fiber source for lactating dairy cows when supplies are available in dairy production areas.

Cottonseed consumption for MY 2025/26 is estimated at 210,000 MT, down 38 percent, as dairy cattle producers are expected to reduce cottonseed use in favor of lower-priced alternatives including bypass fat, soybean meal, and DDGS.

Stocks

Cottonseed ending stocks for MY 2026/27 are forecast at 24,000 MT, down 4 percent, as tighter domestic cotton production limits available supplies and processors are expected to draw down holdings. Ending stocks for MY 2025/26 are estimated at 25,000 MT, down 34 percent, driven by a substantial contraction in domestic cotton output during the marketing year.

Peanut, Oilseed

Table 6. Mexico: Production, Supply and Distribution of Peanut (Oilseed)

Oilseed, Peanut	2024/25		2025/26		2026/27	
Market Year Begins	Sep 2024		Sep 2025		Sep 2026	
Mexico	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	53	47	53	50	0	45
Area Harvested (1000 HA)	50	40	48	45	0	42
Beginning Stocks (1000 MT)	23	23	29	29	0	40
Production (1000 MT)	85	70	84	75	0	70
MY Imports (1000 MT)	210	210	240	240	0	250
Total Supply (1000 MT)	318	303	353	344	0	360
MY Exports (1000 MT)	10	10	30	20	0	20
Crush (1000 MT)	4	4	4	4	0	4
Food Use Dom. Cons. (1000 MT)	275	260	290	280	0	290
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	279	264	294	284	0	294
Ending Stocks (1000 MT)	29	29	29	40	0	46
Total Distribution (1000 MT)	318	303	353	344	0	360
Yield (MT/HA)	1.7	1.75	1.75	1.6667	0	1.6667
(1000 HA), (1000 MT), (MT/HA)						

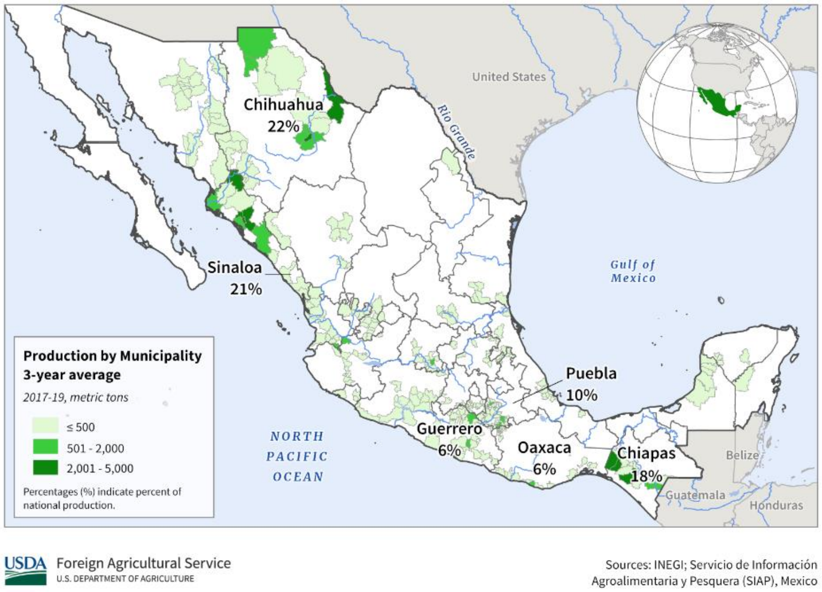
Figure 6. Mexico Peanut Crop Cycle

Production

Peanut production for MY 2026/27 (September–August) is forecast at 70,000 MT, down 7 percent, reflecting higher input costs, competitive pressure from elevated imports, and limited adoption of improved seed varieties. The spring/summer cycle accounts for approximately 98 percent of total domestic production. Roughly 30 percent of planted area is irrigated, primarily in Chihuahua, with average yields estimated at 3.0 MT/ha. The remaining area is rainfed, with average yields of approximately 1.5 MT/ha. Over the past five years, Chihuahua has accounted for approximately 20 percent of total planted area and 35 percent of national production, reflecting the state's relatively higher use of improved seed varieties and sound soil management practices.

Peanut production for MY 2025/26 is estimated at 75,000 MT, up 7 percent, supported by improved weather conditions across key producing states. In Chihuahua, harvested area is estimated at 6,200 ha, up 18 percent, with production estimated at 13,000 MT. In Sonora, harvested area is estimated at 14,000 ha, up 7 percent, driven by favorable precipitation levels during the growing season.

Figure 7. Mexico Peanut Production



Source: USDA FAS International Production Assessment Division (IPAD)

Trade

Peanut imports for MY 2026/27 are forecast at 250,000 MT, up 4 percent, reflecting lower expected domestic production and steady demand growth from the snack food industry. Over the past five marketing years, shelled peanuts accounted for approximately 80 percent of total import volume. U.S.-origin shelled peanuts led with a 90-percent market share, followed by Nicaragua at 8 percent, with Brazil, India, and Paraguay representing smaller sources.

In-shell peanuts comprised roughly 20 percent of total imports over the same period. From MY 2022/2023 through MY 2024/25, the U.S. share of in-shell peanut imports declined from 93 to 73 percent, while China's share increased from 7 to 27 percent, driven by price competitiveness.

Peanut imports for MY 2025/26 are estimated at 240,000 MT, up 14 percent, driven by demand from the snack and confectionery industries. From September 2025 through January 2026, shelled peanut imports totaled 77,000 MT, with approximately 87 percent sourced from the United States and 13 percent from Brazil. Over the same period, in-shell peanut imports totaled 13,000 MT, of which approximately 90 percent originated from the United States and 10 percent from China.

Both shelled and in-shell U.S.-origin peanuts arrive predominantly via truck through the Laredo border crossing, reflecting the logistical advantages of overland transport from the primary U.S. producing states in the Southeast. Brazilian shelled peanuts arrive by container vessel through Gulf ports, primarily Veracruz. Chinese in-shell peanuts arrive by container vessel through the port of Manzanillo, Colima on the Pacific coast, consistent with established trade lanes for Chinese agricultural products destined for the Mexican market.

Peanut exports for MY 2026/27 are forecast stable at 20,000 MT. Exports for MY 2025/26 are estimated at 20,000 MT, up approximately 100 percent from the prior year, supported by stronger demand from the United States.

Consumption

Peanut consumption for MY 2026/27 is forecast at 294,000 MT, up 4 percent, driven by population growth and continued expansion of the domestic snack food industry. According to Mexico's National Institute of Statistics and Geography (INEGI), Mexico's population growth rate is estimated at 1.1 percent for 2025, providing a sustained demand base for food products, including peanuts. The snack food sector is the primary driver of peanut consumption in Mexico, with minimal volumes directed to crush, driven by domestic peanut oil demand. In-shell peanuts are consumed predominantly during the December holiday season, while shelled peanuts are widely sold as a convenient protein snack through local vendors, grocery stores, and convenience store checkout points.

Peanut consumption for MY 2025/26 is estimated at 284,000 MT, up 8 percent, recovering from the prior year's demand contraction attributable to elevated peanut prices and consumer substitution toward alternative snack products.

Stocks

Peanut ending stocks are forecast to increase in both the estimate and forecast years, driven by higher expected import volumes. Ending stocks for MY 2026/27 are forecast at 46,000 MT, up 15 percent, and ending stocks for MY 2025/26 are estimated at 27,000 MT, up 38 percent from the prior marketing year.

MEALS SECTION

Table 7. Mexico: Production, Supply, and Distribution (PSD) of Total Meals

Total Meals	2024/25	2025/26	2026/27
Mexico	**Revised**	**Estimate**	**Forecast**
Crush (1000 MT)	7833	8050	8321
Beginning Stocks (1000 MT)	163	327	349
Production (1000 MT)	5938	6134	6283
MY Imports (1000 MT)	2357	2566	2666
Total Supply (1000 MT)	**8458**	**9027**	**9298**
MY Exports (1000 MT)	1	2	1
Industrial Dom. Cons. (1000 MT)	0	0	0
Food Use Dom. Cons. (1000 MT)	50	50	50
Feed Waste Dom. Cons. (1000 MT)	8080	8626	8956
Total Dom. Cons. (1000 MT)	8130	8676	9006
Ending Stocks (1000 MT)	327	349	291
Total Distribution (1000 MT)	**8458**	**9027**	**9298**
(1000 HA), (1000 MT)			

Commodities:
Meal, Soybean
Meal, Rapeseed
Meal, Palm Kernel Meal

Total oilseed meal production for MY 2026/27 is forecast at 6.3 MMT, up 2 percent, driven by growing demand from the livestock sector, particularly the poultry industry, and supported by higher expected crush levels. Domestically produced oilseed meals account for approximately 70 percent of total meal consumption, reflecting the sustained expansion of crush capacity over the past decade.

Price-competitive soybean supplies, continued elevated import volumes, growth across domestic livestock sectors, and well-developed logistics networks are expected to support crush growth through MY 2026/27. Installed crush capacity is estimated at 11.5 MMT, with total oilseed utilization at approximately 70 percent. Installed capacity is concentrated among processors prioritizing soybean and rapeseed crush. In addition, palm oil mill crush capacity stands at 2.9 MMT of FFB.

Total oilseed meal imports for MY 2026/27 are forecast at 2.7 MMT, up 4 percent. Industry contacts cite ample exportable soybean meal supplies in origin markets and well-integrated import logistics as the primary drivers of higher meal import volumes.

Total oilseed meal consumption for MY 2026/27 is forecast at 9.0 MMT, up 4 percent, supported by higher cattle, swine, and poultry production. Soybean meal is expected to remain the preferred protein source in domestic feed rations, followed by rapeseed meal, owing to its high protein content, competitive pricing, and year-round availability. Palm kernel meal and safflower meal serve as supplemental protein and fiber sources in cattle feed, while corn gluten meal provides high-energy protein supplementation in poultry rations. Fish meal remains the primary protein source in aquaculture feed formulations. Distillers dried grains with solubles (DDGS) — typically containing 26–30 percent crude protein — are valued in dairy and beef cattle rations as a source of energy, digestible fiber, and bypass protein, partially substituting for corn and soybean meal, and are also used at moderate inclusion levels in swine and poultry diets. DDGS consumption is expected to remain stable at approximately 2.2 MMT, as competitive corn and soybean meal prices continue to limit further substitution.

Soybean, Meal

Table 8. Mexico: Production, Supply and Distribution of Soybean Meal

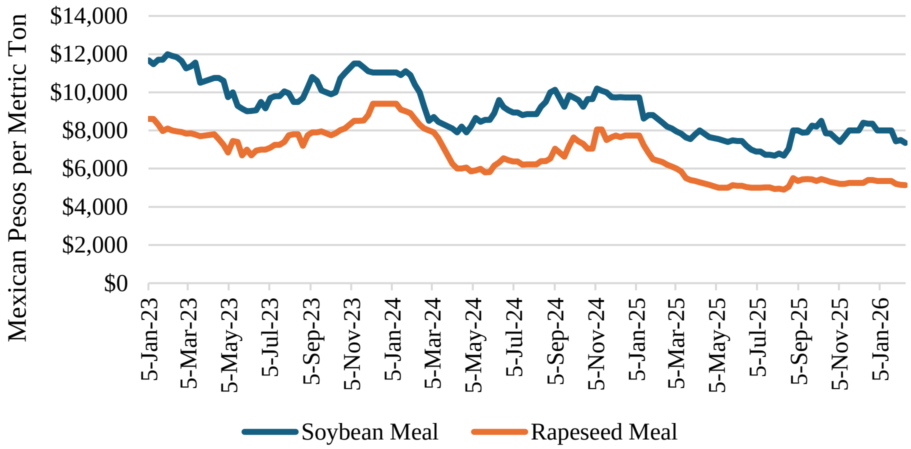
Meal, Soybean	2024/25		2025/26		2026/27	
Market Year Begins	Sep 2024		Sep 2025		Sep 2026	
Mexico	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	6650	6650	6800	6800	0	6950
Extr. Rate, 999.9999 (PERCENT)	0.7902	0.7902	0.79	0.79	0	0.7902
Beginning Stocks (1000 MT)	157	157	307	307	0	328
Production (1000 MT)	5255	5255	5372	5372	0	5492
MY Imports (1000 MT)	2345	2345	2550	2550	0	2650
Total Supply (1000 MT)	7757	7757	8229	8229	0	8470
MY Exports (1000 MT)	0	0	1	1	0	0
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	50	50	50	50	0	50
Feed Waste Dom. Cons. (1000 MT)	7400	7400	7850	7850	0	8150
Total Dom. Cons. (1000 MT)	7450	7450	7900	7900	0	8200
Ending Stocks (1000 MT)	307	307	328	328	0	270
Total Distribution (1000 MT)	7757	7757	8229	8229	0	8470
(1000 MT), (PERCENT)						

Production

Soybean meal production for MY 2026/27 (September–August) is forecast to increase 2 percent to 5.5 MMT, reflecting continued demand growth from the livestock sector. Crushers are expected to increase meal output in response to sustained demand, particularly from the poultry industry, driven by soybean meal high protein content and cost competitiveness. The meal extraction rate is expected to remain stable at 0.79, inclusive of a small proportion of hulls and lecithin utilized in feed applications.

Soybean meal production for MY 2025/26 is estimated at 5.4 MMT, up 2 percent, supported by continued expansion in poultry, swine, and cattle production. Notwithstanding anticipated elevated soybean meal imports, domestically produced meal is expected to maintain steady growth, underpinned by competitive pricing and an average crude protein content of approximately 46 percent.

Figure 8. Average Price of Soybean Meal and Rapeseed Meal



Source: National Feed Industry Association (CONAFAB)

Trade

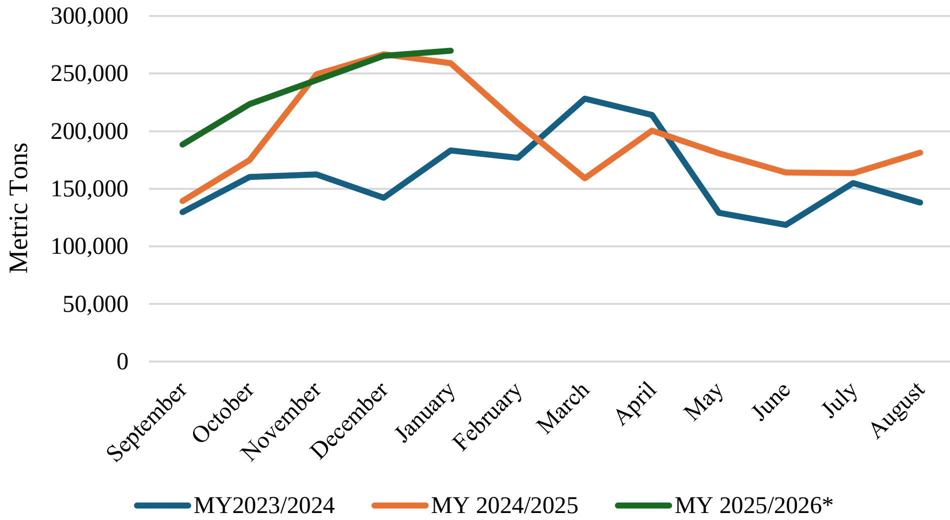
MY 2026/27

Soybean meal imports for MY 2026/27 are forecast at 2.7 MMT, up 4 percent, driven by higher demand from the livestock industry. Import growth is expected to be partially tempered by elevated carryover stocks from record-high imports in MY 2025/26 and higher projected domestic crush volumes. Over 99 percent of soybean meal imports originate from the United States. Over 90 percent of import volumes arrive via freight rail across the northern border with the remainder delivered by vessel to Gulf ports. Brazil represents a marginal supplementary source.

MY 2025/26

Soybean meal imports for MY 2025/26 are estimated at 2.6 MMT, up 9 percent, driven by competitive import prices, favorable logistics, and ample U.S. exportable supplies. From September 2024 through January 2025, soybean meal imports totaled 1.2 MMT, up 9 percent year-over-year. Lower prices and higher available supplies have incentivized the domestic livestock and feed industries to expand import procurement. Vertically integrated livestock companies and commodity traders in northern Mexico and the Bajío region — encompassing San Luis Potosí, Aguascalientes, Querétaro, Guanajuato, Michoacán, and Jalisco — are the primary importers of U.S. soybean meal. The continued decline in soybean meal import prices and expanded availability of shuttle train service have led some buyers to favor U.S.-origin meal over domestically produced alternatives on a cost and logistics basis. Over 90 percent of soybean meal imports arrive via rail, with Piedras Negras serving as the primary border crossing, followed by Nogales, Ciudad Juárez, and Nuevo Laredo. The remaining import volumes arrive by vessel. Coatzacoalcos in Veracruz serves as the principal port of entry for maritime shipments.

Figure 9. Mexico's Soybean Meal Imports



*Source: Trade Data Monitor / *September 2025 through January 2026*

Consumption

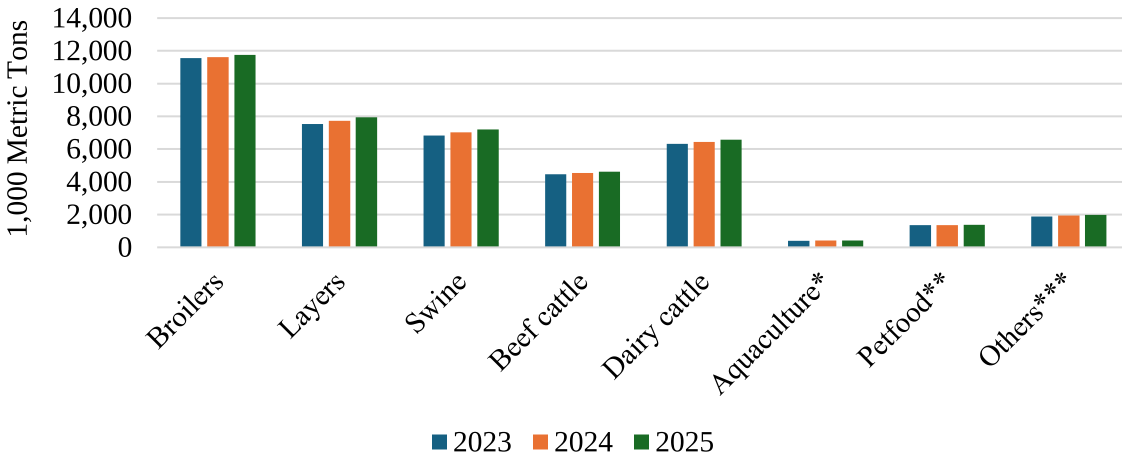
Total soybean meal consumption for MY 2026/27 is forecast at 8.2 MMT, up 4 percent, supported by continued expansion across the poultry, swine, and cattle sectors. Soybean meal is expected to increase its share among vegetable protein meals, underpinned by competitive pricing, reliable domestic and imported supply, relatively high protein content, and consistent nutrient composition. The poultry sector — broilers and layers combined — accounts for approximately 55 percent of total soybean meal consumption, followed by swine, dairy cattle, beef cattle, aquaculture, and pet food. The National Poultry Producers Association (UNA) projects egg production to grow 2.8 percent and chicken meat production to increase 3.6 percent in CY 2026, both of which are expected to drive incremental soybean meal demand.

Soybean meal consumption for MY 2025/26 is estimated at 7.9 MMT, up 6 percent, driven by higher livestock sector demand. Vertically integrated poultry companies — accounting for approximately 70 percent of total poultry feed production — source meal directly to formulate rations for their operations. Given the scale and continuity of their production requirements, these companies rely on year-round soybean meal availability, providing a stable and growing base of demand. Higher soybean meal consumption is also expected to constrain demand growth for distillers dried grains with solubles (DDGS) in poultry and swine rations, given soybean meal superior amino acid profile for monogastric species. Additionally, lower average prices for corn gluten feed and higher forage grain availability in producing regions have reduced DDGS utilization in dairy and beef cattle rations. DDGS imports in CY 2025 declined 10 percent to 2.3 MMT, reflecting the competitive pricing of soybean meal during the period.

Mexico ranks as the fifth-largest compound feed producer globally. According to the National Council of Balanced Feed Producers (CONAFAB), compound feed production grew 2 percent to 41.8 MMT in CY 2025, distributed across the following sectors: broiler (11.8 MMT), layer hen (8.0 MMT), swine (7.2 MMT), dairy cattle (6.6 MMT), feedlot cattle (4.6 MMT), other species (2.0 MMT), pet food (1.3

MMT), and aquaculture (0.4 MMT). Soybean meal comprises approximately 19 percent of total national compound feed formulations.

Figure 10. Mexico's Animal Feed Consumption by Livestock Sector



Source: National Mexican Feed Council (CONAFAB)
In 1000 Liters / **Shrimp and fish only / * Feed for horses, rabbits, fighting cocks, sheep, goats, etc.*

Soybean meal remains the primary protein source across domestic feed rations, valued for its price competitiveness, high protein content, and year-round availability. Industry contacts indicate soybean meal comprises approximately 28 percent of broiler feed, 23 percent of layer feed, 20 percent of swine feed, and 12 percent of cattle feed formulations on average. Corn gluten feed and meal supplement poultry rations with additional protein and energy, fish meal provides the primary protein source in aquaculture feed, and DDGS serve as a high-fiber energy supplement in cattle rations, particularly in northern Mexico and the Bajío region. Industry sources report that feed manufacturers and livestock companies consumed approximately 9.7 MMT of soybean meal equivalent (SME) protein in MY 2024/25, up 5 percent year-over-year, driven by expansion across the cattle, swine, and poultry sectors supported by higher minimum wages and continued government social programs.

Table 9. Main Raw Materials Used by the Feed Industry (thousands MT)

Product	2022	2023	2024
Sorghum	4,284	4,407	4,405
Corn	18,027	18,440	18,363
Other Feed Grains: Wheat, barley, oats, etc.	484	403	410
Direct consumption of grains by industry	22,795	23,250	23,178
Protein meals (Soybean meal, DDGS, canola meal, etc.)	8,690	8,893	9,952
Other inputs (wheat and corn by-products, vitamins and minerals, oils, etc.	8,032	8,326	8,348
Total	**39,517**	**40,469**	**41,069**

Source: CONAFAB

Over the past ten years, soybean meal has accounted for an average of 78 percent of total meal consumption, followed by DDGS at 14 percent, rapeseed meal at 6 percent, and other meals and feed ingredients combined at 2 percent.

For reference, crude protein levels across feed ingredients are expressed in soybean meal equivalent (SME) as follows: 1.0 MT of DDGS equals 0.58 MT SME; 1.0 MT of rapeseed meal equals 0.71 MT SME; 1.0 MT of palm kernel meal equals 0.36 MT SME; and 1.0 MT of fish meal equals 1.45 MT SME.

Stocks

Soybean meal ending stocks for MY 2026/27 are forecast at 270,000 MT, down 18 percent, reflecting an accelerated drawdown of the elevated stocks accumulated in MY 2025/26. Most livestock and feed companies maintain minimal inventory positions, supported by abundant domestic and imported meal availability and well-established just-in-time delivery logistics with U.S. suppliers. Soybean meal ending stocks for MY 2025/26 are estimated at 328,000 MT, up 7 percent, underpinned by record-high import volumes during the marketing year. All soybean meal stocks in Mexico are privately held.

Rapeseed, Meal

Table 10. Mexico: Production, Supply and Distribution of Rapeseed Meal

Meal, Rapeseed	2024/25		2025/26		2026/27	
Market Year Begins	Oct 2024		Oct 2025		Oct 2026	
Mexico	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	1115	1115	1250	1250	0	1300
Extr. Rate, 999.9999 (PERCENT)	0.5767	0.5767	0.5768	0.5768	0	0.5769
Beginning Stocks (1000 MT)	6	6	20	20	0	21
Production (1000 MT)	643	643	721	721	0	750
MY Imports (1000 MT)	11	11	5	15	0	15
Total Supply (1000 MT)	660	660	746	756	0	786
MY Exports (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	640	640	725	735	0	765
Total Dom. Cons. (1000 MT)	640	640	725	735	0	765
Ending Stocks (1000 MT)	20	20	21	21	0	21
Total Distribution (1000 MT)	660	660	746	756	0	786
(1000 MT), (PERCENT)						

Production

Rapeseed meal production for MY 2026/27 (October–September) is forecast to increase by 4 percent to 750,000 MT, supported by higher demand from the livestock sector, particularly dairy cattle and layer hen operations. In MY 2025/26, production is estimated at 721,000 MT, up 12 percent, driven by continued growth in demand from the poultry and dairy cattle sectors.

Trade

Rapeseed meal imports for MY 2026/27 are forecast stable at 15,000 MT, supported by favorable logistics. However, imports comprise roughly 2 percent of total use. Cattle producers in northern Mexico are the primary importers of U.S.- and Canadian-origin rapeseed meal, with volumes arriving predominantly via rail. Rapeseed meal imports for MY 2025/26 are estimated at 15,000 MT, up 37 percent, driven by growth in demand from the cattle industry. The United States and Canada are the primary suppliers of rapeseed meal to Mexico, reflecting geographic proximity and competitive pricing. Most imports arrive via rail through Ciudad Juárez, Chihuahua.

Consumption

Rapeseed meal consumption for MY 2026/27 is forecast at 765,000 MT, up 4 percent, supported by higher overall demand from the livestock and compound feed industries. Industry contacts indicate that rapeseed meal serves as a supplemental protein source in cattle rations, valued for its amino acid profile and high fiber content. Large-scale dairy operations favor rapeseed meal for its rumen bypass protein characteristics, which contribute to improved milk production performance. Rapeseed meal consumption for MY 2025/26 is estimated at 735,000 MT, up 15 percent, reflecting stronger demand from the livestock and feed sectors.

Stocks

Rapeseed meal ending stocks for MY 2026/27 are forecast stable at 21,000 MT. Ending stocks for MY 2025/26 are estimated at 21,000 MT, up 5 percent from the prior year. All rapeseed meal stocks in Mexico are privately held.

Palm Kernel, Meal

Table 11. Mexico: Production, Supply and Distribution of Palm Kernel Meal

Meal, Palm Kernel	2024/25		2025/26		2026/27	
Market Year Begins	May 2025		May 2026		May 2027	
Mexico	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	0	68	0	70	0	71
Extr. Rate, 999.9999 (PERCENT)	0	0.5882	0	0.5857	0	0.5775
Beginning Stocks (1000 MT)	0	0	0	0	0	0
Production (1000 MT)	0	40	0	41	0	41
MY Imports (1000 MT)	0	1	0	1	0	1
Total Supply (1000 MT)	0	41	0	42	0	42
MY Exports (1000 MT)	0	1	0	1	0	1
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	0	40	0	41	0	41
Total Dom. Cons. (1000 MT)	0	40	0	41	0	41
Ending Stocks (1000 MT)	0	0	0	0	0	0
Total Distribution (1000 MT)	0	41	0	42	0	42
(1000 MT), (PERCENT)						

Production

Palm kernel meal production for MY 2026/27 (May–April) is forecast stable at 41,000 MT. Industry contacts report that domestic palm kernel meal extraction averages approximately 58 percent of palm kernel seed weight. Palm oil mill operators project stable meal output, reflecting planned efficiency improvements oriented toward maximizing palm kernel oil recovery. Given the higher market value of palm kernel oil — driven by demand from the food processing, cosmetics, and soap industries — most processors prioritize oil extraction techniques, which constrains meal output as a secondary product. In Mexico, palm kernel seeds are processed at the same facilities where palm oil is extracted, as limited year-round FFB availability makes dedicated palm kernel crush facilities economically unviable. Palm kernel meal production for MY 2025/26 is estimated at 41,000 MT, up nearly 3 percent, driven by higher palm kernel seed extraction rates and stronger demand from the cattle feed sector.

Trade

Palm kernel meal imports and exports are forecast to remain negligible at below 1,000 MT in MY 2026/27. Mexico's palm kernel meal imports are sourced primarily from Central American countries — primarily Honduras and Guatemala — transported by truck to processing and consumption areas in southern Mexico. Palm kernel meal imports for MY 2025/26 are estimated at below 1,000 MT, unchanged from the prior year, as domestic production has been sufficient to meet cattle feed industry requirements.

Consumption

Palm kernel meal consumption for MY 2026/27 is forecast stable at 41,000 MT. Industry contacts indicate that palm kernel meal serves as an alternative protein source — at approximately 16 percent crude protein — and as an energy and fiber supplement in dairy and beef cattle rations, primarily utilized when domestic supplies are available in proximity to production areas. Palm kernel meal consumption for MY 2025/26 is estimated at 41,000 MT, up 3 percent, driven by higher demand from the cattle sector in southern producing regions. Demand for palm kernel meal is typically highest during the dry season (November–April) in Chiapas and Tabasco, when pasture availability is most limited.

Stocks

Palm kernel meal stocks held by domestic palm oil processors represent operating inventory maintained to meet short-term processing and supply requirements. There are no government-held palm kernel meal stocks in Mexico.

OILS SECTION

Table 12. Mexico: Production, Supply, and Distribution (PSD) for Total Oils

Total Oils	**2024/25**	**2025/26**	**2026/27**
Mexico	**Revised**	**Estimate**	**Forecast**
Crush (1000 MT)	7833	8120	8321
Beginning Stocks (1000 MT)	323	365	460
Production (1000 MT)	2083	2174	2228
MY Imports (1000 MT)	1153	1300	1260
Total Supply (1000 MT)	**3559**	**3839**	**3948**
MY Exports (1000 MT)	57	36	40
Industrial Dom. Cons. (1000 MT)	627	698	730
Food Use Dom. Cons. (1000 MT)	2510	2645	2740
Feed Waste Dom. Cons. (1000 MT)	0	0	0
Total Dom. Cons. (1000 MT)	3137	3343	3470
Ending Stocks (1000 MT)	365	460	438
Total Distribution (1000 MT)	**3559**	**3839**	**3948**
(1000 HA), (1000 MT),			

Commodities:
Oil, Soybean
Oil, Rapeseed
Oil, Palm
Oil, Palm Kernel

Total vegetable oil production for MY 2026/27 is forecast at 2.2 MMT, up 2 percent, driven by increased demand from the food processing industry and household consumers. Continued private infrastructure investment, consolidation among large crush operators, and well-established import logistics are expected to sustain relatively favorable crush margins through the marketing year.

Domestic vegetable oil production accounts for approximately 65 percent of total domestic use. Soybean oil leads with roughly 55 percent of production, followed by rapeseed oil at 22 percent, and palm oil at 17 percent. Other vegetable oils — including safflower, palm kernel, coconut, olive, avocado, pumpkin seed, and peanut — collectively account for the remaining 6 percent.
Over the past decade, soybean oil's share of domestic vegetable oil production increased from 40 to 55 percent, driven by price-competitive soybean supplies, abundant importable volumes, expanded crush capacity, and integrated logistics. Rapeseed oil's share declined from 35 to 22 percent over the same period, reflecting supply variability and comparatively lower cost efficiency, while palm oil's share edged up from 15 to 17 percent, supported by steady planted area expansion and improving yields.

Total vegetable oil imports for MY 2026/27 are forecast at 1.3 MMT, down 3 percent, reflecting higher expected domestic crush output and vegetable oil production. Exports are forecast at 40,000 MT, up 11 percent, supported by anticipated growth in crude palm oil (CPO) demand from export markets. Total vegetable oil consumption for MY 2026/27 is forecast at 3.5 MMT, up 4 percent. The industrial food processing and hotel, restaurant, and institutional (HRI) sectors collectively account for approximately 60 percent of total vegetable oil demand, with household consumption comprising the remaining 40 percent.

Soybean oil leads domestic consumption with a 40-percent market share, followed by palm oil at 30 percent, rapeseed oil at 21 percent, palm kernel oil at 4 percent, corn oil at 1 percent, and other vegetable oils at 4 percent. Olive, avocado, and pumpkin seed oils are expected to register increased demand driven by consumer interest in their nutritional profiles, though they collectively represent approximately 2 percent of total consumption. Over the past five years, soybean oil has consistently led domestic consumption, accounting for 35 to 40 percent of the market. Palm oil has risen to second place, displacing rapeseed oil, supported by affordability, elevated import volumes, ample exportable supplies in origin markets, broader industrial applications, and modest growth in domestic production.

The primary driver of vegetable oil demand growth is the structural expansion of Mexico's food processing sector, which relies on vegetable oils as a core functional ingredient across a widening product portfolio. As manufacturers scale up capacity to meet rising domestic consumption of packaged and processed foods — and as the HRI sector continues its post-pandemic recovery and ongoing expansion — industrial demand for vegetable oils is expected to outpace household consumption growth, making the food manufacturing segment the dominant and most dynamic source of incremental volume in the overall market. Vegetable oils are not used as a biofuel feedstock in Mexico, reflecting the absence of a significant domestic plant-based fuel industry.

Soybean, Oil

Table 13. Mexico: Production, Supply and Distribution of Soybean Oil

Oil, Soybean	**2024/25**		**2025/26**		**2026/27**	
Market Year Begins	**Sep 2024**		**Sep 2025**		**Sep 2026**	
Mexico	**USDA Official**	**New Post**	**USDA Official**	**New Post**	**USDA Official**	**New Post**
Crush (1000 MT)	6650	6650	6800	6800	0	6950
Extr. Rate, 999.9999 (PERCENT)	0.1845	0.1845	0.1846	0.1846	0	0.1846
Beginning Stocks (1000 MT)	114	114	164	164	0	229
Production (1000 MT)	1227	1227	1255	1255	0	1283
MY Imports (1000 MT)	173	173	200	200	0	180
Total Supply (1000 MT)	1514	1514	1619	1619	0	1692
MY Exports (1000 MT)	40	40	40	10	0	10
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	1310	1310	1380	1380	0	1440
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	1310	1310	1380	1380	0	1440
Ending Stocks (1000 MT)	164	164	199	229	0	242
Total Distribution (1000 MT)	1514	1514	1619	1619	0	1692
(1000 MT), (PERCENT)						

Production

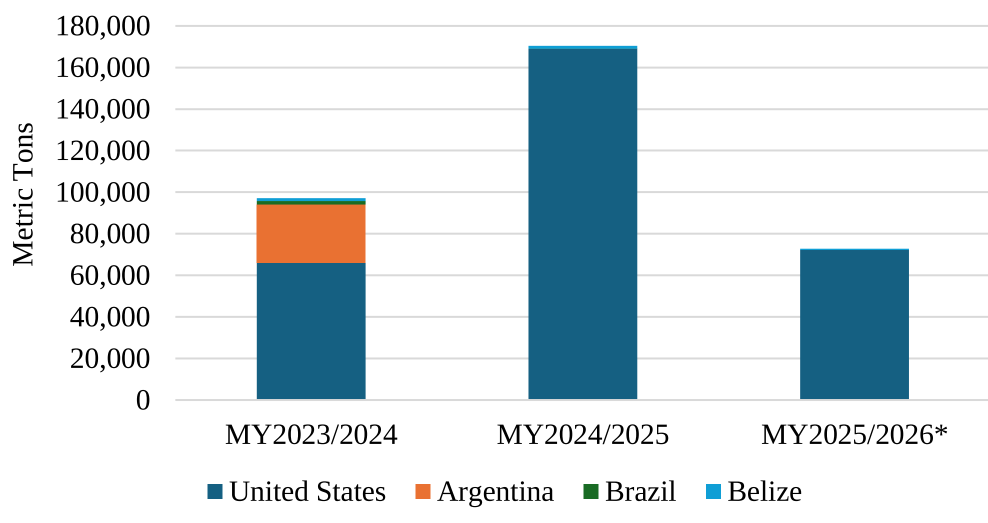
Soybean oil production for MY 2026/27 (September–August) is forecast at 1.3 MMT, up 2 percent, supported by anticipated growth in food industry demand and continued investment in crush plant capacity expansion. Soybean oil is expected to retain its position as the leading domestically produced vegetable oil. Soybean oil production for MY 2025/26 is estimated at 1.3 MMT, up 2 percent, driven by favorable crush margins and stronger demand from the food processing sector.

Trade

Soybean oil imports for MY 2026/27 are forecast at 180,000 MT, down 10 percent, reflecting higher expected domestic crush and oil production. The United States is expected to remain the primary supplier, underpinned by ample exportable supplies and logistical advantages. Belize and Guatemala supply small volumes to southern Mexico on a year-round basis. On average, approximately 80 percent of imported soybean oil is refined (HS 1507.90), with the remaining 20 percent comprising crude soybean oil (HS 1507.10). In December 2025, the Government of Mexico removed soybean oil from the Presidential Anti-Inflation Decree (see Policy section). From January 1, 2025, through December 31, 2026, soybean oil imports from countries without a free trade agreement with Mexico — including Argentina and Brazil — are subject to a 5-percent import tariff.

Soybean oil imports for MY 2025/26 are estimated at 200,000 MT, up 16 percent year-over-year, driven by competitive import prices relative to other vegetable oils and higher exportable supplies from major producing countries. From September 2025 through January 2026, Mexico imported 72,131 MT of soybean oil from the United States and 1,220 MT from other origins. Over 99 percent of imports arrived via rail, with Nuevo Laredo serving as the primary border crossing, followed by Piedras Negras.

Figure 11. Top Soybean Oil Exporters to Mexico



**From September 2025 through January 2026*

Source: Trade Data Monitor

Soybean oil exports for MY 2026/27 are forecast stable at 10,000 MT. Exports for MY 2025/26 are estimated at 10,000 MT, down approximately 75 percent year-over-year, reflecting softened demand from the U.S. market. In CY 2025, 45 percent of exports were shipped to the United States by rail, while 43 percent were destined to Guatemala by truck through the Ciudad Hidalgo, Chiapas border crossing, with the remaining 12 percent directed to other Central American markets.

Consumption

Total soybean oil consumption for MY 2026/27 is forecast at 1.4 MMT, up 4 percent, supported by price competitiveness and continued expansion of the food processing sector. Soybean oil holds the leading position in the domestic vegetable oil market with approximately 40 percent of total consumption in MY 2025/26, remaining the predominant base oil in vegetable oil blends. The food processing industry is expected to sustain steady demand growth, particularly in the snack food and processed food segments — including salad dressings, mayonnaise, and margarine — where soybean oil serves as a core functional ingredient. The livestock and feed industries, particularly the poultry sector, utilize modest volumes of soybean oil to increase energy density, improve pellet quality, and enhance palatability in compound feed rations. Soybean oil consumption for MY 2025/26 is estimated at 1.4 MMT, up 5 percent, driven by competitive pricing, ongoing market consolidation among large processors, and relatively greater domestic availability compared to palm oil and rapeseed oil.

Stocks

Soybean oil ending stocks for MY 2026/27 are forecast at 242,000 MT, up 6 percent, as crushers and oil processors are expected to build inventory positions due to expanded vegetable oil refining and storage capacity. Ending stocks for MY 2025/26 are estimated at 229,000 MT, up 40 percent from the prior year.

Rapeseed, Oil

Table 14. Mexico: Production, Supply and Distribution of Rapeseed Oil

Oil, Rapeseed	2024/25		2025/26		2026/27	
Market Year Begins	Oct 2024		Oct 2025		Oct 2026	
Mexico	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	1115	1115	1250	1250	0	1300
Extr. Rate, 999.9999 (PERCENT)	0.4	0.4	0.4	0.4	0	0.4
Beginning Stocks (1000 MT)	26	26	26	26	0	76
Production (1000 MT)	446	446	500	500	0	520
MY Imports (1000 MT)	257	257	300	300	0	250
Total Supply (1000 MT)	729	729	826	826	0	846
MY Exports (1000 MT)	3	3	5	5	0	5
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	700	700	735	745	0	780
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	700	700	735	745	0	780
Ending Stocks (1000 MT)	26	26	86	76	0	61
Total Distribution (1000 MT)	729	729	826	826	0	846
(1000 MT), (PERCENT)						

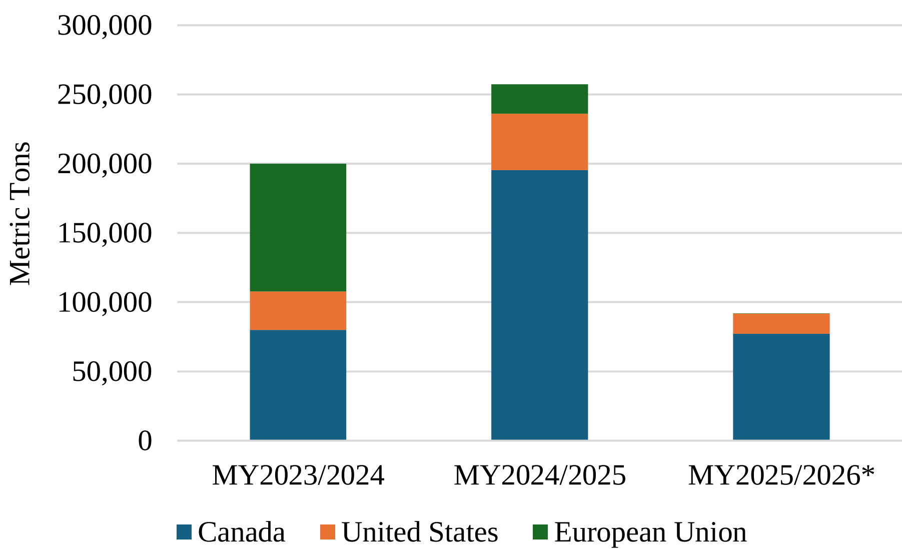
Production

Rapeseed oil production for MY 2026/27 is forecast at 520,000 MT, up 4 percent, supported by anticipated improvement in crush margins and continued demand growth from the food processing industry. A limited number of domestic crush facilities have operational flexibility to adjust production between rapeseed and soybeans. Rapeseed oil production for MY 2025/26 is estimated at 500,000 MT, up 12 percent, driven by stronger demand from the food sector.

Trade

Rapeseed oil imports for MY 2026/27 are forecast at 250,000 MT, down 17 percent, reflecting higher expected domestic crush output and oil production. Over the past decade, Canada has averaged approximately 70 percent of Mexico's rapeseed oil import market, followed by the United States at 21 percent. The European Union serves as a supplementary supplier when export prices are competitive. Rapeseed oil imports for MY 2025/26 are estimated at 300,000 MT, up 17 percent, driven by industrial demand supported by price competitiveness and the oil's suitability for vegetable oil blending applications. From October 2025 through January 2026, imports of Canadian-origin canola oil totaled 77,188 MT, U.S.-origin rapeseed oil totaled 14,540 MT, and European Union-origin oil totaled 177 MT. Over 99 percent of rapeseed oil import volumes arrive via rail, with Nuevo Laredo and Piedras Negras serving as the primary border crossings.

Figure 12. Top Rapeseed Oil Exporters to Mexico



Source: Trade Data Monitor

Consumption

Total rapeseed oil consumption for MY 2026/27 is forecast at 780,000 MT, up 5 percent, driven by higher demand from the food processing industry and household consumers. Rapeseed oil is expected to retain its position as the third most consumed vegetable oil in Mexico, supported by its low saturated fat content (approximately 7 percent), favorable omega-6 to omega-3 fatty acid ratio, neutral flavor profile, and compatibility with soybean oil in blended formulations. Rapeseed oil consumption for MY 2025/26 is estimated at 745,000 MT, up 6 percent, reflecting higher domestic crush volumes and increased demand from the food processing industry, HRI sector, and household consumers.

Stocks

Rapeseed oil ending stocks for MY 2026/27 are forecast at 61,000 MT, down 20 percent, reflecting a partial drawdown of the elevated beginning stocks carried into the marketing year. Ending stocks for MY 2025/26 are estimated at 76,000 MT, up approximately 192 percent, driven by higher expected import volumes.

Palm, Oil

Table 15. Mexico: Production, Supply and Distribution of Palm Oil

Oil, Palm	2024/25		2025/26		2026/27	
Market Year Begins	Jan 2025		Jan 2026		Jan 2027	
Mexico	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	136	0	138	0	140
Area Harvested (1000 HA)	103	105	108	107	0	109
Trees (1000 TREES)	0	0	0	0	0	0
Beginning Stocks (1000 MT)	183	183	142	175	0	155
Production (1000 MT)	314	382	330	390	0	395
MY Imports (1000 MT)	593	593	600	660	0	680
Total Supply (1000 MT)	1090	1158	1072	1225	0	1230
MY Exports (1000 MT)	13	13	20	20	0	25
Industrial Dom. Cons. (1000 MT)	460	470	460	530	0	550
Food Use Dom. Cons. (1000 MT)	475	500	475	520	0	520
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	935	970	935	1050	0	1070
Ending Stocks (1000 MT)	142	175	117	155	0	135
Total Distribution (1000 MT)	1090	1158	1072	1225	0	1230
Yield (MT/HA)	3.0485	3.6381	3.0556	3.6449	0	3.6239
(1000 HA), (1000 TREES), (1000 MT), (MT/HA)						

Production

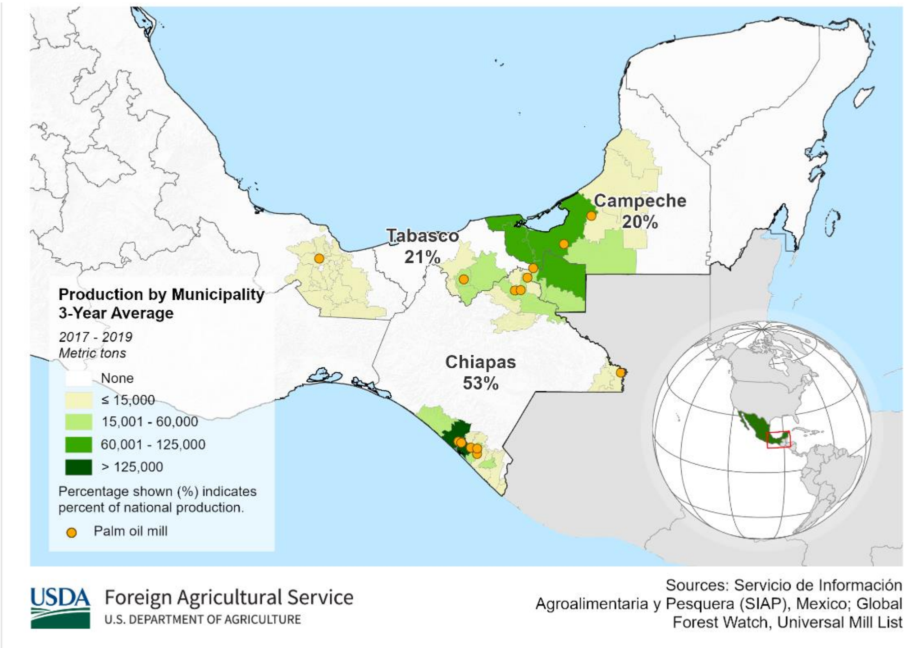
Palm oil production for MY 2026/27 (January–December 2027) is forecast at 395,000 MT, up 1 percent, driven by higher expected yields as previously planted area in Chiapas and Tabasco reaches productive maturity. According to FEMEXPALMA, approximately 90 percent of oil palm producers are small and medium-scale operators farming fewer than 50 hectares. Further production growth is constrained by limited technology adoption, scarce labor availability, environmental restrictions, and the absence of dedicated public policy support for the sector.

Palm oil production for MY 2025/26 (January–December 2026) is estimated at 390,000 MT, up 2 percent, supported by continued tree maturation and sustained high yields in Chiapas, averaging approximately 19 MT of FFB per hectare. The Soconusco region in Chiapas — the largest producing area nationwide — accounts for 26 percent of total planted area and 33 percent of national FFB production. Industry contacts indicate that mature trees (over 25 years old) continue to produce at peak levels, while newly mature plantings provide incremental volume. The predominant varieties among mature trees in Chiapas are Deli x Nigeria and Deli x Ghana, while younger plantings consist primarily of the Deli x Lamé variety.

Mexico currently operates 19 palm oil mills across its four producing states: Chiapas (13), Tabasco (3), Campeche (2), and Veracruz (1). Estimated installed FFB processing capacity in 2025 stands at 2.9

MMT, with current utilization at approximately 66 percent. Three additional mills are under construction in Chiapas and Campeche and are expected to contribute incremental crushing capacity within the following years.

Figure 13. Mexico Palm Oil Production



Source: USDA FAS International Production Assessment Division (IPAD)

Trade

Palm oil imports for MY 2026/27 (January–December 2027) are forecast at 680,000 MT, up 3 percent, supported by growing demand from the industrial food processing sector. From 2021 to 2025, palm oil originating from Central and South American countries — primarily in crude form — accounted for an average of 85 percent of total imports, though their combined market share declined from 90 percent in 2021 to 74 percent in 2025. Indonesia (primarily refined palm oil), Colombia, and Guatemala (primarily crude palm oil) have emerged as the three leading suppliers, collectively accounting for an average of 55 percent of total import volumes in recent years.

Palm oil imports for MY 2025/26 (January – December 2026) are estimated at 660,000 MT, up 11 percent, driven by higher demand, competitive import prices, and ample exportable supplies in origin markets. Approximately 65 percent of import volumes arrive by vessel, with Lázaro Cárdenas, Michoacán serving as the primary port of entry, followed by Veracruz and Coatzacoalcos, both in the Gulf. An additional 25 percent arrives by truck through the Ciudad Hidalgo, Chiapas land border crossing. The remainder enters via rail and vessel through other border crossings and ports. FEMEXPALMA estimates that approximately 25 percent of palm oil imports carry certification from the Roundtable on Sustainable Palm Oil (RSPO), reflecting growing industry and consumer sustainability requirements.

Consumption

Palm oil consumption for MY 2026/27 is forecast at 1.1 MMT, up 2 percent, driven by higher industrial demand. Approximately 80 percent of refined palm oil is sold in bulk to industrial users — including bakery, snack food, infant formula, beverage, frozen food, and personal care product manufacturers — while the remaining 20 percent is bottled for the restaurant and household sectors. Industry contacts report that single-stage dry fractionation of RBD (refined, bleached, deodorized) palm oil yields on average approximately 70 percent palm olein and 25 percent palm stearin. Food-grade palm olein — the liquid fraction — is used to enhance texture, fat content, and shelf life in products such as pastry dough, chocolate, and snack foods. Palm stearin — the solid fraction — finds application in ice cream, processed foods, soap, cosmetics, and candles. In MY 2025/26, consumption is estimated at 1.1 MMT, up 8 percent, supported by higher industrial demand driven by population growth and rising average household income. The processed food, confectionery, dairy alternatives, and oleochemical industries are the primary consumers of both palm olein and palm stearin.

Stocks

Palm oil ending stocks are expected to decline from elevated levels accumulated in MY 2025/26. Ending stocks for MY 2026/27 are forecast at 135,000 MT, down 13 percent. Ending stocks for MY 2025/26 are estimated at 155,000 MT, down 11 percent from the prior year.

Palm Kernel, Oil

Table 16. Mexico: Production, Supply and Distribution of Palm Kernel (Oil)

Oil, Palm Kernel	2024/25		2025/26		2026/27	
Market Year Begins	Jan 2025		Jan 2026		Jan 2027	
Mexico	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	0	68	0	70	0	71
Extr. Rate, 999.9999 (PERCENT)	0	0.4118	0	0.4143	0	0.4225
Beginning Stocks (1000 MT)	0	0	0	0	0	0
Production (1000 MT)	0	28	0	29	0	30
MY Imports (1000 MT)	130	130	90	140	0	150
Total Supply (1000 MT)	130	158	90	169	0	180
MY Exports (1000 MT)	1	1	0	1	0	0
Industrial Dom. Cons. (1000 MT)	129	157	90	168	0	180
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	129	157	90	168	0	180
Ending Stocks (1000 MT)	0	0	0	0	0	0
Total Distribution (1000 MT)	130	158	90	169	0	180
(1000 MT), (PERCENT)						

Production

Palm kernel oil (PKO) production for MY 2026/27 (January – December 2027) is forecast at 30,000 MT, up 3 percent. Industry contacts report that domestic palm kernel oil extraction averages approximately 42 percent of palm kernel seed weight. As PKO is a co-product of the palm oil extraction process, its output is closely tied to palm oil production levels and mill investment decisions. Higher expected FFB volumes and anticipation of firmer PKO prices are expected to incentivize palm oil mills to improve processing efficiency and increase palm kernel oil recovery. PKO production for MY 2025/26 (January–December 2026) is estimated at 29,000 MT, up 4 percent, reflecting a higher average kernel extraction rate and sustained industrial demand supported by PKO's price competitiveness relative to substitute oils, particularly coconut oil.

Trade

Palm kernel oil imports for MY 2026/27 are forecast at 150,000 MT, up 7 percent, driven by higher demand from the food processing industry and the HRI sector. Over the past five years, Colombia, Guatemala, and Costa Rica have been the leading PKO suppliers to Mexico, collectively accounting for over 60 percent of import volumes. Additional suppliers include Honduras, Indonesia, Panama, Malaysia, Nicaragua, and Peru. PKO imports for MY 2025/26 are estimated at 140,000 MT, up 8 percent, driven by higher demand from the processed food, soap, and cosmetics industries. Virtually all import volumes arrive by vessel, with Veracruz concentrating over 70 percent of shipments due to its proximity to major consumption and processing centers in central Mexico, followed by Lázaro Cárdenas, Michoacán on the Pacific coast, which serves as the primary entry point for PKO shipments originating from Southeast Asian suppliers.

Consumption

Palm kernel oil consumption for MY 2026/27 is forecast at 180,000 MT, up 7 percent, supported by increased demand from the food processing industry and the HRI sector. The confectionery, bakery, soap, and cosmetics industries are the largest consumers of PKO. Population growth and rising minimum wages are expected to support incremental demand for confectionery, baked goods, dairy, and infant formula products, particularly among lower-income consumer segments. PKO consumption for MY 2025/26 is estimated at 168,000 MT, up 7 percent, driven by lower PKO prices relative to coconut oil, which remains the primary substitute product.

Stocks

Palm kernel oil stocks held by domestic palm oil processors represent operating inventory maintained to meet short-term processing and supply requirements. There are no government-held palm kernel oil stocks in Mexico.

POLICY (all oilseeds)

Mexico's 2026 Budget Prioritizes Social Assistance
On November 21, 2025, President Claudia Sheinbaum published the 2026 economic package approved by the Congress. The package reports a 5.8 percent real increase in federal spending, prioritizing social programs, debt servicing, and pensions. SADER is allocated USD 4.1 billion, a 2 percent nominal increase but a 2 percent decline in real terms. Over 70 percent of SADER's budget remains directed to social assistance for small-scale producers, including fertilizer distribution, cash transfers, price supports, and food assistance to low-income families. (See Gain Report MX2025-0063)

Presidential Anti-Inflation Decree
On December 31, 2025, the Government of Mexico published a decree to extend the exemption of tariffs and easing of administrative procedures for the importation of basic food products. The decree will continue to provide non-free trade agreement partners tariff free access to Mexico's market that the United States receives under the United States-Mexico-Canada Agreement (USMCA). The benefits apply to companies who are part of the 'Register of Importers of Products of the Basic Basket.' The extension is valid through December 31, 2026, but companies registered under the program may use the benefits of the decree until March 31, 2026. Soybean oil (HS code: 15.07; 1507.90.99) and sunflower seed, cottonseed oil (HS code: 15.12; 1512.19.99) were removed from the program. The vegetable oil products with duty-free access included in the decree are listed below. (See Gain Report MX2026-0003)

Note: In the table below, "Ex." represents the term "Exempt".

Code	Product	Tariff	Notes
15.15	**Other fats and oils and their fractions, vegetable (including jojoba oil) or of microbial origin, fixed, and their fractions, whether or not refined, but not chemically modified.**	Ex.	
1515.29.99	Others.	Ex.	

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Other Relevant Reports Submitted by FAS/Mexico include:

Report Number	Title	Dated
MX2025-0018	Oilseeds and Products Annual	4/2/2025
MX2024-0019	Oilseeds and Products Annual	4/9/2024
MX2023-0014	Oilseeds and Products Annual	4/24/2023
MX2023-0013	Mexico Approves a Decree to Reduce Trans Fats	3/30/2023
MX2022-0024	Oilseeds and Products Annual	5/9/2022

Attachments:

No Attachments